capitalist globalisation. Along the lines of Brazil's BNDES development bank,[14] it might promote each of the BRICS states' own multinational corporations, but this stands in sharp contrast with the cooperative socialist principles of the now defunct Latin American Bank of the South that revolutionary governments in Venezuela and Bolivia initially had in mind.[15]

Moreover, the room for manoeuvre the BRICS bank seeks to take vis-à-vis the IMF is itself distinctly limited. Indeed, to obtain the full benefit of borrowing under the BRICS 'Contingent Reserve Arrangement' would still be contingent on a country having an 'on-track arrangement' with the IMF.[16] This looks very much like the 2000 'Chiang Mai Initiative' arrangement for currency swaps among China, Japan, South Korea and ASEAN countries after the 1997–98 financial crisis, which was little used and proved largely symbolic.

The main reason for the continuing central role of the dollar has very little to do with the institutional structure of the IMF, or the greater size of its capitalisation relative to what the BRICS bank will muster. It primarily reflects the absence – even in Shanghai, where the new bank will be headquartered – of anything like the depth and range of the financial markets centred on Wall Street and its satellite in the City of London. And it is the way in which these markets are, in turn, so deeply intertwined with the US Treasury and Federal Reserve that explains the latter's dominant role in global economic management. The analogous state institutions in China, let alone in Russia or the other BRICS, have nowhere near the capacity to play such a global role, even if they had such an interest at the moment.

Notably, far from fearing that the renminbi would displace the dollar, it has been the US which has encouraged the Chinese central bank in particular to take on greater responsibility for making its currency more of a player in international currency markets. Largely unnoticed amidst all the fanfare around the BRICS Bank announcement at Fortaleza was that the week before it began, two days of talks between US and China resulted in the first joint document between the two countries wherein China committed itself to a policy of 'exchange rate flexibility as conditions permit'. China's central bank governor affirmed that this meant it would orient its policies so as to facilitate 'market supply and demand to play a bigger role'.[17]

It is of course much more difficult to integrate the states of the BRICS into the US informal empire than it was to integrate the states of the G7. This is especially the case given the absence of the deep linkages among the latter's military and security apparatuses. The regional conflicts in the South China Sea and, even more telling, in the Ukraine speak directly to what it means to be